BITS BUFFER

Human Resource Policies and Guidelines

Building a Culture of Trust and Innovation

Effective Date: 2nd Jan, 2026

Approved By: Management

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1. Purpose

The purpose of this document is to **establish a clear and consistent framework for human resource management at Bitsbuffer**, ensuring transparency, fairness, and compliance with applicable laws and regulations.

It aims to:

- Define the rights, responsibilities, and expectations of employees and management
- Promote a **positive, productive, and professional workplace culture**
- Support employee growth, well-being, and performance
- Ensure alignment between organizational goals and individual contributions

This handbook serves as a **guiding reference for employees and management** to foster clarity, trust, and accountability throughout the organization.

2. Scope & Applicability

These policies apply to all full-time employees, including approved remote workers. Contractors or interns may have separate agreements.

3. Working Days & Hours

- Working days: Monday to Friday
- Standard working day: 9 hours including breaks
- Office timings may vary seasonally (summer/winter)
- Employees must be available during core business hours, as defined by management

4. Attendance & Punctuality

4.1 Attendance & Punctuality

- Employees are expected to report to work on time and maintain regular attendance.
- A grace period of 15 minutes is allowed for reporting to work.
- Two (2) late arrivals within a calendar month will be counted as one (1) paid leave, adjusted from the employee's available leave balance.
- Late arrival counts are reset at the beginning of each month.

- Exceptions may be granted in cases of:
    - Medical emergencies
    - Official client or company meetings
    - Prior approval from the reporting manager
- Habitual lateness may result in:
    - Impact on performance evaluations
    - Initiation of disciplinary action as per Section 13

4.2 Absence Without Prior Intimation

- Employees are required to inform their reporting manager in advance in case of absence, except in genuine emergencies.
- Any absence without prior communication or approval will be considered unauthorized absence.

4.3 Unauthorized Absence & Disciplinary Action

Unauthorized absences will be addressed under the **Disciplinary Policy (Section 13)** as follows:

Number of Unauthorized Absences	Disciplinary Action
2 occurrences	Verbal Warning (Section 13.1)
3 occurrences	First Written Warning (Section 13.2)
4 occurrences	Second Written Warning (Section 13.3)
5 occurrences	Strict Disciplinary Action or (Section 13.4)

- Unauthorized absences are counted on a **rolling 12-month basis**.

- Approved leaves or absences supported by valid documentation (e.g., medical certificate) will **not** be treated as unauthorized.

5. Leave Policy

5.1 Leave Entitlement

- Employees are entitled to a total of **20 paid leaves per calendar year**, categorized as follows:
    - **Annual Leave:** 15 days
    - **Sick Leave:** 5 days

5.2 Leave Approval Process

- All planned leaves must be **applied in advance** through the designated company process (HR system, email, or written request) and require **prior approval from the reporting manager**.
- Leave requests for planned annual leave exceeding two (2) working days must be submitted at least five (5) working days in advance.
- Approval is subject to:
    - Team availability
    - Project commitments
    - Business requirements

5.3 Emergency & Sick Leave

- In case of sudden illness or emergency:
    - Employees must **inform their reporting manager as soon as reasonably possible**, preferably before the start of the workday.
    - Medical documentation may be requested for **extended or frequent sick leave**.
- Emergency leaves may be regularized retroactively upon submission of justification and approval.

5.4 Leave Accounting & Restrictions

- Leave balances are maintained by HR and reflected in payroll records.
- Carry forward of unused leaves is not permitted.

- Leave taken without approval or valid communication may be treated as **unauthorized absence** and addressed under the Attendance & Disciplinary Policies.

6. Leave Encashment & Public Holiday Compensation

6.1 Leave Encashment

- Any unused paid leave balance at the end of the calendar year is eligible for encashment, excluding maternity and paternity leaves.
- Leave encashment is calculated based on the employee's basic salary.
- Encashment is paid along with the annual bonus and is subject to applicable income tax deductions as per FBR regulations.
- To be eligible for leave encashment, the employee must:
    - Be an active employee as of year-end, and
    - Not be serving a notice period at the time of encashment.

6.2 Public Holiday & Overtime Compensation

- Employees required to work on **official public holidays** due to business or project requirements will be **compensated as overtime**.
- Overtime compensation for public holidays will be:
    - Calculated in accordance with company guidelines, and
    - **Paid in the respective payroll month** in which the public holiday work was performed.

7. Public Holidays

- Observed as per government announcements
- Typically 10–12 days per year
- Not counted in paid leaves

8. Maternity & Paternity Leave

- Maternity: 3 months (90 days), paid, permanent employees
- Paternity: 3 working days, paid
- These leaves are not encashable

9. Remote Work

- Primarily office-based
- Limited remote work allowed based on role, performance, and business need
- Remote employees must be available during core hours and reachable via official channels

10. Compensation, Bonus & Increment

- Salary: monthly, via bank transfer, payslip provided
- Annual bonus: performance-based, discretionary, taxable
- Annual increment: performance-based, not guaranteed, based on individual contribution, role criticality, company financials, and market benchmarks

11. Probation & Performance Management

- Probation period: 3 months
- Confirmation based on performance, conduct, and ownership
- Performance reviews: periodic check-ins + annual formal review

12. Code of Conduct

Employees must:

- Maintain professionalism
- Respect colleagues
- Protect company data & IP
- Avoid conflicts of interest
- Maintain confidentiality

Zero tolerance: harassment, discrimination, or data misuse

13. Disciplinary Policy

Progression of action for violations:

1. Verbal Warning
2. First Written Warning

3. Second Written Warning
4. Termination of Employment

Severity of action depends on frequency, impact, and nature of the violation. Management may bypass steps for serious misconduct.

14. Notice Period & Exit Policy

- During probation: 15 days
- Confirmed employees: 30 days
- Final settlement: salary dues, leave encashment (if applicable), other payable benefits

15. Policy Amendments

Bitsbuffer reserves the right to amend policies for business, legal, or organizational reasons. Employees will be informed of changes.